

0027.HK pitch deck

Both benches are in and converge; no further verification is needed — this is a synthesis task. Writing the deck from the court record now. One process note for the log: IBKR quote tools were permission-denied to both benches (three occurrences), so all prices below rest on the evidence pack, not a live executable quote.

PITCH — 0027.HK — PROPOSED VERDICT

PROPOSED — PENDING ADJUDICATION: NO ENTRY before the 2026-08-12 interim results; thesis survives only as a fairly-priced dividend/balance-sheet holding, remanded for a peer-valuation check, with conditional staging after the print if four dated gates pass.

What we believe

Galaxy Entertainment (0027.HK, HK\$33.12, down 25% from its 52-week high of HK\$44.22) is an honest discloser with a fortress balance sheet — HK\$36.5bn net cash confirmed on page 5 of the company's own Q1 2026 release ([primary PDF](#)) — earning HK\$10.7bn of annual profit (+22% in FY2025), paying a rising dividend (HK\$0.50 → 0.70 → 0.80 path, 4.5% yield, covered 1.64× by earnings). At 13.4× earnings (a 7.4% earnings yield), we believe the stock is roughly *fairly* priced, not cheap.

Critically, we do **not** believe the company's headline "+21% normalized growth" claim as marketed. Our review found that the company's luck adjustment is applied only to its VIP segment (footnote 1 of both the quarterly and annual releases confirms it covers only the "rolling chip program"), while an equally large favorable luck/mix swing in the mass-market segment is left in the headline. Adjusting the mass segment to the audited FY2025 average hold rate of 26.5% (verified from the annual report: 36,512/137,961), true underlying growth was roughly **+4–6%**, in a Macau market that grew +14% in Q1 and has since stalled: our own arithmetic on the public monthly government gaming-revenue series (7-month total MOP147.2bn, minus Q1's ~65.9, minus July's 20.3) says Q2 market revenue was ~MOP61bn — **approximately flat year-over-year** — with July down 8.4% ([AGB, citing DICJ](#)).

So the belief is: good company, honest numbers once you re-do the luck math, no demonstrated growth advantage over its market, fair price, decent dividend. That is a *watchlist-with-gates* position, not a buy today — especially not two trading sessions before the interim results that will adjudicate the central open question.

What the market believes

The stock is 25% off its high but still 15.5% above its 52-week low, on roughly 13.4× earnings. The market appears to be pricing: (1) the well-publicized Macau slowdown (July –8.4% is public data); (2) a

competitive narrative that Galaxy is losing ground to Sands; (3) a World Cup–related drag on summer visitation, which management itself pre-flagged in May. The market is pricing deceleration, not distress — and the dividend yield and cash pile are fully disclosed, so neither is a secret.

Why we might have edge

Honestly: **less than the original thesis claimed, and both our review teams agree the “informational advantage” leg is dead.** What survives:

1. **The luck-adjustment asymmetry.** We independently detected that the company’s “normalized” growth figure adjusts luck in one segment while leaving a larger luck/mix effect in another. Anyone repeating the company’s +21% figure is overstating growth roughly 4×. This is a real analytical finding — it’s just a *bearish-leaning* one that argues for patience, not purchase.
2. **Pre-computed print backdrop.** We reconstructed Q2 market revenue from public monthly data before the company reports, so we know the August 12 print lands against a ~flat market. We won’t be surprised by a soft headline, and we know exactly which line items (mass volume, hold rate, dividend, cash breakout) resolve the dispute.
3. **A hold-rate insight the simple bear case misses.** The flagship property’s mass hold rate ran 31.2% then 31.0% for two straight quarters, and the step-up began *before* the new Capella tower opened — consistent with a durable shift toward premium customers, not a lucky streak. If confirmed on August 12, the “it’s all luck” bear case weakens, which is the one genuinely non-consensus, *constructive* thing we know.

If we buy after the gates clear, we are being paid a fair, verified return for known risks — not exploiting a mispricing. The deck says that plainly so nobody sizes it like an edge trade.

Why it might be priced in

Everything load-bearing here is public: the monthly government revenue series, the dividend path, the net cash, the July decline. A 7.4% earnings yield with a 4.5% dividend on a China-policy-exposed, single-jurisdiction casino operator may simply be *correct* compensation, not an anomaly. The 25% drawdown tracks the market-wide deceleration almost mechanically. And the one thing we haven’t done — comparing Galaxy’s multiple against Sands China (1928.HK), MGM China (2282.HK), and Melco — is exactly the check that would reveal whether “fair” is actually “in line with everyone else,” i.e., no opportunity at all. Until that table exists, our fairness claim is an assertion, and both review teams agreed it must be cured before any purchase.

What we checked ourselves

Claim	How checked	Found	Confirmed?
Galaxy lost share (“mass volume −5.8% vs market +14%”)	Read Q1 2026 release pp.4–5 directly	Volume drop 34,053→32,190 is real, but our skeptic team erred: same page shows mass <i>revenue</i> +17% and total revenue +16%, both above the market’s	Partially — claim reduced

Claim	How checked	Found	Confirmed?
		+14% — Galaxy’s revenue share actually rose. Volume-vs-revenue category error; kill-claim downgraded to “no verified volume edge.”	
“+21% normalized growth” adjusts only VIP luck	Footnote 1, both primary PDFs, verbatim	Confirmed — adjustment scoped to “rolling chip program” only; mass hold swing (25.6%→28.2%) left in headline	✓
Mass-normalized growth ≈ +4–6% using FY2025 hold anchor of 26.5%	Recomputed; anchor initially unverified by our skeptic team (their error) , then confirmed from the FY2025 annual PDF p.5 (36,512/137,961)	Arithmetic reproduces on both the FY2025 (26.5%) and FY2024 (25.9%) anchors	✓
Flagship 31% mass hold is luck (original thesis gate: kill if >27%)	Both PDFs, property-level tables	29.3 / 29.3 / 31.2 / 31.0 across four quarters; step-up began before the Capella opening — pattern of a customer-mix shift, not variance. The original 27% “luck ceiling” gate was miscalibrated by our own side and has been replaced with a mix-vs-luck decomposition requirement.	✓ (gate rewritten)
Q2 Macau market revenue ≈ flat YoY	Arithmetic on DICJ monthly series (DICJ page is script-gated; figures via AGB secondary)	147.2 – 65.9 – 20.3 ⇒ Q2 ≈ MOP61bn, ≈flat vs Q1’s +14%; July –8.4%	✓ (arithmetic; source one step from primary)
HK\$36.5bn net cash	Q1 PDF p.5	Confirmed — but the same release upsizes the Phase 4 project (~1,350 rooms, 2027 completion), so part of the pile is pre-committed, not distributable	✓ with caveat
Dividend sustainability	Skeptic team claimed no profit line existed — an error ; annual PDF p.4 discloses profit of HK\$10.7bn, +22%	Payout 61%, dividend covered 1.64×, per-share path 0.50→0.70→0.80	✓ (better than skeptics allowed)
Stock is fairly valued	Earnings yield computed (7.4% at HK\$143.85bn market cap)	No peer comparison table was ever built (vs 1928.HK / 2282.HK / Melco), no carry-vs-deposit-rate spread measured — fairness is partially evidenced, not verified. Mandatory before purchase.	✗ — open gap
August 12 results date	Company board-meeting notice, corroborated via TipRanks	Board meets Aug-12 to approve interim results and consider a dividend	✓
Live tradeable price	IBKR quote tools	Permission denied three times (standing process defect); HK\$33.12 rests on the evidence pack and StockAnalysis, not an executable quote	✗ — process gap
Checklist hygiene	Cross-audit of the skeptic team’s screening	Two dispatched checks omitted, two never-dispatched checks reported —	Logged

Claim	How checked	Found	Confirmed?
	list	bookkeeping defect, no verdict impact	

PROPOSED ENTRY BANDS

Both review teams converge: **no position before the August 12 print** — the print itself adjudicates the luck-vs-mix dispute, and staging into a two-session binary contradicts the thesis's own rules. The courts therefore specify **reopen conditions**, not entry today:

Reopen path A — post-print staging (the base case). Reopen after 2026-08-12 only if ALL four gates pass, **plus** the peer-valuation table (vs Sands China 1928.HK, MGM China 2282.HK, Melco) is built and confirms Galaxy is at or below peer multiples on luck-adjusted earnings: 1. Mass-market revenue **grows** year-over-year against the ~flat market (kill only on an outright decline — the original “+5% or kill” bar was rewritten because the market backdrop deteriorated); 2. Hold-rate decomposition (premium-mass vs main-floor) shows the ~31% flagship hold is customer **mix**, not luck; 3. Interim dividend declared at $\geq$ **HK\$0.70** per share (the sustainability proof); 4. A “liquid investments” breakout showing the HK\$36.5bn is genuinely unencumbered net of Phase 4 commitments.

If all pass at a price near the current HK\$33.12 (i.e., earnings yield still $\approx$ 7.4% or better), stage a **starter tranche only**, inside a shared Macau allocation with Sands China — the two names share one sleeve cap because they share the same China-policy tail. No numeric size is approved by this court; sizing is set at adjudication. This is a paid-for-known-risks holding, not an edge trade, and must be labeled that way.

Reopen path B — price dislocation. A break **below HK\$28.68** (the 52-week low) reopens the file immediately, before gate cures, as a dislocation review — the fairness question changes character if the market hands us a ~15% discount to the level at which 7.4% earnings yield was computed.

Exits/trims: not applicable — no position exists. If staged later, the kill conditions are the inverse of gates 1–3 (mass revenue decline, hold decomposition showing luck, interim dividend below HK\$0.70).

Catalyst dates: 2026-08-12 interim results + dividend decision (board notice confirmed); ~2026-09-01 August Macau market revenue release (monthly government series — tests the World Cup-drag excuse against actual recovery).

ARMED SENSORS

(armed provisionally with this deck; session adjudication ratifies)

- price alert: fires below 28.68 (deck-provisional: 52-week low; break reopens the file as a dislocation review before gate cures)
- dated pack 0027.HK|2026-08-12: 0027.HK: Interim results + dividend decision (board-meeting notice confirmed) (date confirmed=True)

- dated pack 0027.HK|2026-09-01: 0027.HK: DICJ August Macau GGR — tests World Cup-drag excuse vs trend (date confirmed=False)

What remains unverified

- **The fairness claim itself** — no peer multiple comparison exists; “fairly priced” is currently our assertion, and it is the load-bearing leg of the whole proposal. Mandatory cure before any purchase.
- **Luck vs mix at the flagship** — the 31% hold pattern is suggestive but the company has not disclosed the premium-vs-main-floor split; only the August 12 release (or later disclosure) can settle it.
- **How much of the HK\$36.5bn cash is truly free** — Phase 4 was upsized with a 2027 completion and there is a ~MOP33bn concession obligation; no liquid-investments breakout has been published.
- **Q2/July market figures** — arithmetic is ours and reproduces, but the underlying numbers were read via a trade-press secondary because the government statistics page is script-gated; re-pull from DICJ directly when accessible.
- **A live executable quote** — brokerage quote access was permission-denied throughout; HK\$33.12 is a pack price, not a fill price.
- **Interim dividend capacity** — profit coverage is confirmed at the annual level, but the interim cash-flow statement (dividend vs capex vs concession payments simultaneously) is not yet published.

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